

PROPRIETARY AND CONFIDENTIAL



Symphony Bond vs. Cohort Prepay Comparison

February 2016

- Given a bond having loan level prepayment data, we want to compare its historical prepay with those coming from the corresponding loan level cohort
- Our default cohort for conventional collateral will take into account of ticker, coupon, origination year, original loan balance buckets, FICO buckets, original LTV buckets, origination channel, occupancy, purpose and servicers
- For Ginnie Mae collateral, the comparison will also include loan type and annual MIP
- The user will also have the ability to create less granular (i.e. without servicers) or more granular (i.e. Geo for NY and PR) cohort for comparison

- Agency ticker, Coupon, Origination Year
- Original Loan size buckets: $\leq 85K$, 85-115K, 115-150K, 150-175K, 175-417K, $>417K$
- FICO buckets: ≥ 740 , 700-740, 660-700, < 660
- Original LTV buckets: ≤ 70 , 70-80, 80-85, 85-90, 90-95, 95-100, 100-105, 105-110, 110-115, 115-120, 120-125, 125-135, 135-145, 145-155, 155-165, 165-175, 175-200, 200-225, >225
- Origination Channel buckets: Retail, Correspondent or TPO, Broker
- Occupancy buckets: Owner or Second Home, Investor
- Purpose buckets: Purchase, Refi, Others
- Servicer buckets: Wells, Chase, Bank of America, Citi, US Bank, BB&T, Nationstar, Quicken, PennyMac, Suntrust, PNC, Caliber, Franklin, Stearn, Provident, Ditech (aka Greentree), Flagstar, Freedom, Pingora, United Shore, Lakeview, other.
- The default bucketing has about 40K replines for each ticker, coupon and orig year

- Agency ticker, Coupon, Origination Year
- Loan Type: FHA, VA, RHS or PIH
- Original Loan size buckets: <= 85K, 85-115K, 115-150K, 150-175K, 175-417K, >417K
- FICO buckets: >=740, 700-740, 660-700, 620-660, <620, NA
- Original LTV buckets: <= 70, 70-80, 80-85, 85-90, 90-95, 95-100, 100+, NA
- Origination Channel buckets: Retail, Correspondent or TPO, Broker, NA
- Purpose buckets: Reperformer, HMod, NHMod, Purchase, Refi, Others
- Servicer buckets: Wells, Chase, Bank of America, Citi, US Bank, Nationstar, PennyMac, Lakeview, Quicken, Freedom, MidFirst, Ocwen, Carrington, Pacific Union, Stonegate, Pingora, Caliber, Flagstar, Stearn, HomeBridge, Ever Bank, Plaza Home, Ditech (aka Greentree), other.
- Annual MIP buckets: < 50, 50-55, 55-80, 80-90, 90-115, 115-125, 125-135, 135+
- The default bucketing has about 500K replines for each ticker, coupon and orig year

- For each factor date, we calculate the bond's weighting for each repline
- The cohort speed is then determined using these weights and each repline's actual prepayment rate